Strategic Case Study

Predicted Paper 6 - Summer 2026

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You are a finance and business analyst working in the office of the Chief Financial Officer of Karachi Motor Car Hire Limited (KMCH).

KMCH has completed its financial year ended 31 March 2026. The Board is reviewing the 2025-26 financial results and considering a digital-first budget sub-brand, a clearer strategic business unit structure and expansion of corporate leasing. The Board is also concerned about a recent cybersecurity incident and staff resistance to the proposed operating model changes.

The Chief Financial Officer has asked you to review the information provided in the appendices and prepare responses to the requirements set out below.

You should assume that today's date is 20 August 2026.

Unless otherwise stated, all amounts are in Pakistani Rupees (Rs) million.

You should use the information contained in the pre-seen material and the additional information provided in the appendices to answer the requirements.

Additional information
The following appendices are provided:

Appendix	Description
1	Email from the Chief Financial Officer on the Board's current agenda
2	Financial statements and operating information for the year ended 31 March 2026
3	Strategy note on corporate leasing and strategic business units
4	Cybersecurity incident summary and data-governance concerns
5	Budget sub-brand concept and proposed digital operating model
6	Financial appraisal data for the proposed budget sub-brand
7	Tax, provincial services and change-management matters

Requirements

Question 1
(a) Using the financial statements and operating data provided, analyse KMCH's financial performance and financial position for the year ended 31 March 2026, and identify the key issues the Board should consider before approving further growth. (14 marks)

(b) Evaluate whether KMCH should reorganise its operations into strategic business units and expand corporate leasing as a separate portfolio business line. (12 marks)

(c) Advise on cybersecurity, data privacy and data ethics risks arising from KMCH's app-based rentals, telematics, licence verification, GPS tracking and digital payment systems, and recommend appropriate controls. (12 marks)

Total: 38 marks

Question 2
(a) Evaluate the proposed launch of KMCH's separate budget sub-brand. Your answer should cover:

- i. the strategic case for the sub-brand, including market positioning, cannibalisation risk, operational implications and protection of KMCH's premium brand;
- ii. the digital operating controls required over pricing, customer verification, vehicle handover, refunds, complaints, damage claims and exception approvals; and
- iii. the KPIs and benchmarking measures that should be used to monitor the sub-brand's performance after launch.

(16 marks)

(b) Using the financial information provided, evaluate the proposed budget sub-brand using the Adjusted Present Value method, calculate the Modified Internal Rate of Return, and critically assess the key assumptions used in the appraisal. (20 marks)

Total: 36 marks

Question 3
(a) Discuss the income tax and sales tax implications of launching the budget sub-brand, expanding corporate leasing, using Ijarah / asset-backed financing, and providing app-based rental / chauffeur services in multiple provinces. (12 marks)

(b) Recommend how KMCH should manage organisational change and build employee capability when launching the budget sub-brand and reorganising into strategic business units. (14 marks)

Total: 26 marks

Grand total: 100 marks

Appendix 1 - Email from the Chief Financial Officer on the Board's current agenda

To: Finance and business analyst

From: Chief Financial Officer

Subject: Information required for the August Board meeting

The Board has asked for a more disciplined assessment of the next phase of KMCH's growth. The company has continued to grow revenue, but the Board is concerned that growth has become more complex and capital-intensive. The pre-seen material already highlighted pressure on utilisation, technology readiness, customer service consistency and funding requirements. These issues have become more visible after the completion of the 2025-26 financial year.

The Board is considering three connected matters. First, management wants to introduce a low-cost digital budget sub-brand to compete with app-based and smaller local rental operators. Second, the Managing Director believes KMCH should be reorganised into clearer strategic business units so that performance, capital allocation and accountability are not hidden inside one combined business. Third, the Head of Corporate Sales has proposed that corporate leasing should be treated as a separate portfolio business line rather than an extension of ordinary rentals.

The Board is also concerned that a recent cybersecurity incident has exposed weaknesses in the way customer identity documents, licence data and telematics information are stored and accessed. The incident did not result in confirmed financial loss, but the Board is worried about reputational damage, customer trust and possible future regulatory consequences.

Please review the appendices and prepare responses to the requirements. The Board does not want purely theoretical advice. It expects practical analysis that links financial information, strategic choices, digital risks, tax implications and people-related implementation risks.

Appendix 2 - Financial statements and operating information for the year ended 31 March 2026

The following summarised financial statements have been prepared for internal Board discussion. The 2025 figures reflect the comparative year ended 31 March 2025, while the 2026 figures reflect the year ended 31 March 2026.

Statement of profit or loss

Rs million	2025	2026
Rental revenue - self-drive	1,180	1,350
Rental revenue - chauffeur / airport transfers	620	760
Corporate leasing revenue	340	510
Motorcycle / tour revenue	70	95
Total revenue	2,210	2,715
Direct fleet operating costs	(1,135)	(1,525)
Gross profit	1,075	1,190
Administrative and selling expenses	(430)	(530)
Technology and app support costs	(75)	(130)
Operating profit (EBIT)	570	530
Finance cost	(155)	(225)
Profit before tax	415	305
Tax expense	(122)	(88)
Profit after tax	293	217

Statement of financial position

Rs million	2025	2026
Property, vehicles and equipment - net book value	2,480	3,080
Intangible / software assets	115	210
Other non-current assets	85	95
Inventories and spare parts	90	145
Trade receivables	370	565
Cash and bank balances	185	105
Total assets	3,325	4,200
Share capital and reserves	1,570	1,725
Long-term bank borrowings	875	1,180
Lease / Ijarah liabilities	410	610
Trade and other payables	310	455
Tax payable and other current liabilities	160	230
Total equity and liabilities	3,325	4,200

Selected operating information

Measure	2025	2026
Average fleet size	1,080 vehicles	1,245 vehicles
Overall fleet utilisation	66%	63%
Corporate leasing utilisation	78%	81%
Average revenue per vehicle	Rs 2.05m	Rs 2.18m
Average trade receivable days	61 days	76 days
Breakdown incidents per 1,000 rentals	7.5	10.8
Customer satisfaction score	86%	80%
Technology support tickets per month	410	710
Vehicles under corporate leasing contracts	180	310

The Finance Director has noted that the company is still profitable, but the quality of growth has weakened. Corporate leasing has grown faster than other segments, but it has increased receivables and requires more formal service-level management. The Board has asked for a ratio-based analysis before it approves any new digital or portfolio restructuring initiative.

Appendix 3 - Strategy note on corporate leasing and strategic business units

The Managing Director has proposed reorganising KMCH into strategic business units (SBUs). At present, many activities share the same depots, fleet support teams, finance reporting structure and customer-service teams. The internal accounts do not always show whether a business line is genuinely profitable or whether it is being supported by spare capacity from another part of the business.

Management is considering the following possible SBUs:

- Premium self-drive rentals, which include higher-end vehicles and customers who expect strong handover quality and brand assurance.
- Chauffeur-driven and airport-transfer services, which rely heavily on drivers, route discipline, customer punctuality and service standards.
- Corporate leasing and subscription mobility, which provides longer-term vehicle use to corporate customers with maintenance, replacement and service support included in the package.
- Motorcycle and tour mobility, which remains smaller but has seasonal tourism potential and higher safety / insurance considerations.
- Digital budget mobility, which would be developed as a lower-cost, app-led sub-brand using compact vehicles and lower-touch service delivery.

Corporate leasing has attracted interest from banks, pharmaceutical companies, logistics coordinators and project-based businesses. Several customers want one-to-three-year arrangements with vehicles, maintenance support, insurance and replacement vehicles included. The Head of Corporate Sales believes this can stabilise revenue and improve fleet utilisation. The Operations Director is less enthusiastic because corporate contracts can lock vehicles into low-margin arrangements, create penalty exposure if vehicles are unavailable and increase pressure on the maintenance team.

The Finance Director has also expressed concern that corporate customers are slower to pay than retail customers. Some contracts require KMCH to provide replacement vehicles within 24 hours and may impose service credits if agreed availability levels are not achieved. The Board is therefore considering whether corporate leasing should be managed as a separate portfolio with its own profit targets, credit-control measures, service-level reporting and capital-allocation limits.

Appendix 4 - Cybersecurity incident summary and data-governance concerns

In July 2026, KMCH's IT team detected unusual login attempts on the administration portal used by depot staff to upload customer documents and approve digital handovers. The incident was first noticed when a depot employee reported that the system showed customer licence images that were not related to the bookings assigned to that employee.

A preliminary review identified the following issues:

- Access rights for some former employees had not been disabled promptly after their employment ended.
- A shared operations login was being used by some depot staff during peak periods because individual access credentials were not issued quickly enough.
- Customer CNIC / passport images and driving licence scans were stored in a folder that could be accessed by a wider group of employees than originally intended.
- Telematics dashboards showed vehicle location history and driver behaviour information, but access was not restricted by role or business need.
- One customer complained that GPS tracking continued to appear active after the vehicle had been returned, although the IT team has not yet confirmed whether the data was actually accessed after the rental ended.
- Several staff members received a phishing email that appeared to come from the app vendor asking them to reset their passwords. Two employees clicked the link and entered their credentials before the IT team blocked the site.

The IT team has stated that no confirmed financial loss has occurred. However, it has also admitted that the incident response plan is informal, penetration testing has not been performed during the last 18 months and vendor access logs are not reviewed regularly. The Board is concerned that the proposed budget sub-brand will increase the volume of digital bookings, licence verification, GPS data, online payments and customer support tickets.

Some managers believe that the company should use telematics and app data more aggressively to monitor customer behaviour, driver behaviour and staff performance. Others are concerned that excessive monitoring could be viewed as intrusive or unfair, particularly if customers are not clearly informed about the data being collected and the purposes for which it is used.

Appendix 5 - Budget sub-brand concept and proposed digital operating model

The Marketing Director has proposed a separate digital-first budget sub-brand. The proposed brand would not use the KMCH name prominently, although the Board has not yet decided whether the link with KMCH should be disclosed in the app, website and rental agreement.

The budget sub-brand would target price-sensitive customers who currently use smaller local operators, app-based rental platforms or ride-hailing alternatives. The concept is based on compact and mid-sized vehicles, app-only booking, automated customer verification, standardised pick-up / drop-off points and lower-touch customer service. The Marketing Director believes this will allow KMCH to enter a broader market without diluting the premium KMCH brand.

The Operations Director has raised concerns. A lower-service model may result in more disputes about vehicle condition, deposit refunds, late returns, damage claims and complaints. Customers may still link the service failure to KMCH if they discover that the sub-brand is owned by the company. Depot managers have also asked who will approve discounts, exceptions and refunds because the budget model depends on speed and automation.

Management has prepared the following initial operating assumptions for the sub-brand:

Area	Initial assumption
Vehicles	250 compact and mid-sized vehicles in the first phase
Channels	App-only bookings, digital payment and automated document upload
Service model	Limited physical counter support; digital handover and return evidence
Pricing	Approximately 22% below KMCH premium self-drive rates for comparable rental blocks
Cannibalisation estimate	12% of budget bookings may come from customers who would otherwise have used KMCH premium vehicles
Customer deposits	Refunded digitally after inspection and confirmation of no damage / fines
Complaints risk	Expected to be higher than premium business during first six months
Benchmarking approach	Management proposes comparing the budget sub-brand against both KMCH internal depots and selected app-based rental competitors

The Board wants the budget sub-brand to have clear controls and performance measures from day one. It is particularly concerned about price leakage, unauthorised discounts, poor customer verification, weak handover evidence, excessive refunds, unresolved complaints and damage disputes.

Appendix 6 - Financial appraisal data for the proposed budget sub-brand

The Finance Director has prepared an appraisal of the proposed budget sub-brand. Because the project will have a financing structure different from KMCH's existing average capital structure, the Finance Director has asked for the Adjusted Present Value method to be used. The Board has also asked for Modified Internal Rate of Return because it believes ordinary IRR may be less useful for a project with significant reinvestment and financing assumptions.

Project operating cash flows have been estimated on an ungeared basis, after operating taxes but before financing side effects. Initial investment includes the app build, vehicles, customer-verification systems, launch marketing and working-capital set-up.

Rs million	Year 0	Year 1	Year 2	Year 3	Year 4	Year 5
Initial investment	(540)	-	-	-	-	-
Ungeared after-tax operating cash flow	-	80	118	156	188	210
Terminal value / residual working capital recovery	-	-	-	-	-	230

The following appraisal assumptions have also been provided:

Assumption	Amount / rate
Ungeared cost of equity for the budget sub-brand project	17%
Debt financing arranged specifically for the project	Rs 300 million
Debt interest rate	13% per annum
Corporate tax rate	29%
Debt term for tax-shield calculation	5 years, interest-only during the project period
Arrangement fee on project debt	Rs 9 million payable at Year 0
Expected additional lender monitoring / reporting cost	Rs 2 million per year, after tax, from Year 1 to Year 5
MIRR finance rate	13%
MIRR reinvestment rate	15%

The Finance Director has stated that the tax shield on interest should be treated as a financing side effect for APV purposes. The annual interest tax shield should be calculated based on the project debt, interest rate and tax rate. The arrangement fee should be deducted as a financing side effect. The annual lender monitoring / reporting cost should also be treated as a financing side effect.

Management believes the project is attractive because app-based competitors are growing quickly. However, the Board has challenged several assumptions, including utilisation, customer acquisition cost, cannibalisation of premium rentals, digital refund disputes, maintenance cost of compact vehicles, residual value and whether the budget sub-brand can maintain acceptable customer service at a lower price point.

Appendix 7 - Tax, provincial services and change-management matters

Tax and provincial services matters

The Tax Manager has reminded the Board that the budget sub-brand and corporate leasing expansion should not be evaluated only on pre-tax or accounting assumptions. Corporate leasing, short-term rentals, app-based rentals, chauffeur-driven services and motorcycle / tour packages may be classified differently for income tax, withholding tax and provincial sales tax on services. KMCH operates in more than one province and is considering further expansion through digital booking and partner pick-up points.

Management is also considering Ijarah / asset-backed financing for part of the budget sub-brand vehicle fleet. The Finance Director has asked whether rentals, finance costs, depreciation, input tax and provincial sales tax should be treated differently depending on whether KMCH buys the vehicles, leases them or uses an Ijarah arrangement.

Some advisers have suggested that invoices for corporate mobility customers should combine vehicle use, maintenance support, replacement vehicle access, driver support and digital platform charges into one monthly amount. The Tax Manager is concerned that bundled invoices may create uncertainty over service classification, place of supply, applicable provincial rate and input tax adjustment. He has also warned that reduced-rate services in some provinces may restrict input tax recovery.

Change-management matters

The Human Resources Director has reported increasing resistance to the proposed budget sub-brand and SBU reorganisation. The resistance is not open hostility, but several issues have been observed:

- Depot managers are worried that the SBU model will reduce their authority over pricing, fleet allocation and customer handling.
- Premium service teams fear that the budget sub-brand will damage KMCH’s reputation if customers associate service failures with the main brand.
- Some operations staff believe that app-based handovers and automated verification may reduce staffing requirements at depots.
- The finance team is concerned that segment reporting will require new data definitions, cost allocation rules and training.
- The IT team believes the proposed launch timetable is aggressive given the recent cybersecurity incident and the need for stronger access controls.
- Customer service staff have not yet been trained to handle budget-brand complaints, refund disputes and conversations with customers who do not receive the same level of service as premium customers.

The Board wants the launch to be phased, but the Marketing Director is pushing for a rapid roll-out to avoid losing market share to app-based competitors. The Managing Director has asked for a structured change-management approach that builds employee capability, clarifies responsibilities and reduces resistance without slowing the project unnecessarily.